

Evaluation and judgement

Content

1. What evaluation is

Analysis shows *how* something happens. Evaluation asks *how far*: how likely, how big, how long, for whom, and how important compared with other effects. It is what separates a good answer from a top-level one.

Analysis only

A rise in the minimum wage raises firms' costs, so they cut output and employ fewer workers.

With evaluation

A rise in the minimum wage raises firms' costs, so they cut output and employ fewer workers. However, the loss of jobs depends on how much wages actually rise and how elastic the demand for labour is; if the rise is small and productivity is improving, the effect may be minor.

Evaluation appears from 10-mark questions upward, wherever the command word asks for both sides (assess, discuss, evaluate, to what extent). See [command words](#).

2. Evaluation points that work

Attach the evaluation to a specific link in your chain. A general "on the other hand" earns little. Test a link with one of these.

Angle	The question to ask	Example
Magnitude	How big is the change?	A 1% cost rise is very different from a 20% rise.
Elasticity	How responsive are buyers or sellers?	Cutting price only raises revenue if demand is elastic.
Short run / long run	Does the effect change with time?	Firms absorb a cost rise now but pass it on if it lasts.

Maybe not	Might the effect not happen?	No spare capacity, so higher demand cannot raise output.
Depends on the market	What is the market structure or context?	A monopoly can pass costs on more easily than a competitive firm.
Stakeholders	Who gains and who loses?	Consumers benefit from lower prices; workers may lose jobs.
Government response	Will policy change the outcome?	Regulation could cap the price rise.
Business cycle	Is it a boom or a recession?	Firms hire more readily when demand is strong.
Time lags / uncertainty	How long, and how sure?	Policy effects take months to appear.

3. From weak to strong: the evaluation ladder

Not every evaluation point is equal. Click to climb the ladder for one example.

Analysis: Economies of scale lower a firm's long-run average cost, so it can cut prices.

Rung 1: assertion. "But it might not work." *Says nothing about why.*

Rung 2: reason. "But the firm may not pass the savings on to customers. It might keep the higher margin." *A specific link is challenged, with a reason.*

Rung 3: condition and context. "But whether it passes savings on depends on competition. In a competitive market, rivals force the price down. In a market with few competitors, such as the supermarket sector in the extract, the firm may keep the margin." *Explains when, with application.*

Rung 4: weighed. "So the benefit to consumers is likely to be larger where competition is strong. Given the concentration described in the extract, the gain is likely to be small in this case." *Judges how important the point is.*

4. The formula: Point, But, Because, So

A reliable frame for one evaluation paragraph.

1. **Point:** summarise the analysis link you are testing.
2. **But:** name the weakness or condition.
3. **Because:** explain why with a chain and evidence from the extract.
4. **So:** say what that means for how strong the original point is.

Words that signal evaluation: however, this depends on, only if, unless, in the short run, in the long run, to some extent, the extent to which, the significance of, this is likely to be limited because, more important than.

Avoid

Listing three evaluation points in one line without developing any. One developed point earns more than three bare ones.

5. Writing a supported judgement

Evaluation ends in a judgement that answers the question and says which arguments matter most, and why. The judgement should:

- answer the question straight away;
- weigh the points you have already made, not introduce new ones;
- say which is strongest and what it depends on;
- avoid "will", since economics rarely offers certainty.

Example: "Overall, economies of scale should benefit consumers, as long as competition is strong enough to force firms to pass savings on. In this case the concentrated market means the gain is likely to be small in the short run, though entry by new firms could change that in the long run."

More on judgements, with sentence starters, on the [25-mark essay](#) page.

6. Worked example

Question: Assess whether a merger between two large supermarkets would benefit consumers. (10)

Analysis. A merger lets the firm buy in bulk and spread fixed costs over more output, so its unit costs fall. If it passes some savings on, prices fall for consumers and

choice may widen with more stores.

Evaluation 1: depends on competition. However, a merger reduces the number of competitors. With less rivalry the firm may keep the savings as profit or even raise prices.

Evaluation 2: short run and long run. In the short run the merger costs (integration, redundancies) may push costs up. Only in the long run do economies of scale appear.

Evaluation 3: government response. The competition authority may block or set conditions, which limits the harm to consumers.

Judgement. Consumers are likely to gain only if the market stays competitive after the merger and the authority prevents price rises. As long as new entry remains possible, the gains from lower costs are likely to outweigh the risk, but where the extract shows high concentration, the risk to consumers is likely to be greater.